In this Form 10-K, we discuss Non-GAAP income before income taxes, Non-GAAP net income, Non-GAAP net income per diluted share, EBITDA, Adjusted EBITDA and Adjusted EBITDA margin, which are non-GAAP financial measures.

We believe these measures provide analysts, investors and management with helpful information regarding the underlying operating performance of our business, as they remove the impact of items that management believes are not reflective of underlying operating performance. Management uses these measures to evaluate period-over-period performance as management believes they provide a more comparable measure of the underlying business. Additionally, Adjusted EBITDA is a measure in the credit agreement governing our Senior Secured Term Loan Facility ("Term Loan"), which is used to evaluate our ability to make certain investments, incur additional debt, and make restricted payments, such as dividends and share repurchases, as well as whether we are required to make additional principal prepayments on the Term Loan beyond the quarterly amortization payments. For further details regarding the Term Loan, see Long-Term Debt and Financing Arrangements within Management's Discussion and Analysis of Financial Condition and Results of Operations and Note 10 (Long-Term Debt) to the accompanying Consolidated Financial Statements. For the definitions of Non-GAAP income before income taxes, Non-GAAP net income and Adjusted EBITDA and reconciliations to Net income, see "Results of Operations".

The results of certain key business metrics are as follows:

	Years Ended December 31,		
(dollars in millions)	2017	2016	2015
Net sales	$ 15,191.5	$ 13,981.9	$ 12,988.7
Gross profit	2,449.9	2,327.2	2,115.8
Income from operations	866.1	819.2	742.0
Net income	523.0	424.4	403.1
Non-GAAP net income	605.8	569.0	503.5
Adjusted EBITDA	1,185.6	1,117.3	1,018.5
Average daily sales	59.8	55.0	51.1
Net debt[1]	3,091.3	2,970.7	3,222.1
Cash conversion cycle (in days)[2]	19	19	21

(1) Defined as Total debt minus Cash and cash equivalents.

(2) Cash conversion cycle is defined as days of sales outstanding in Accounts receivable and certain receivables due from vendors plus days of supply in Merchandise inventory minus days of purchases outstanding in Accounts payable and Accounts payable-inventory financing, based on a rolling three-month average.